

# BigBear.ai Holdings, Inc.

BBAI NYSE

|      |                |                            |                                  |                       |
|------|----------------|----------------------------|----------------------------------|-----------------------|
| Hold | \$3.13 ▲ 1.29% | 12M Price Target<br>\$4.50 | 52-Week Range<br>\$3.01 – \$9.39 | Market Cap<br>\$1.50B |
|------|----------------|----------------------------|----------------------------------|-----------------------|

## BBAI: Bleeding Near 52-Week Lows Despite Defense AI Tailwinds

### WHAT HAPPENED

- Stock is basically pinned at 52-week lows (\$3.13, sitting at just 2% of its yearly range) — down 24% in a month per Zacks. Volume today is way lighter (4.3M vs 20M+ recent days), which tells me the panic selling has cooled but nobody's rushing to buy either. That's a "waiting for a catalyst" tape.
- The bullish tell: options flow is leaning bullish (put/call 0.59, meaning way more people betting on upside than downside) and there's an unusual call buy at the \$7 strike — someone's making a cheap lottery ticket bet that this thing doubles. Not a green light, but somebody with capital sees asymmetric upside here.

### WHY IT MATTERS

Here's what the chart is telling you: BBAI got swept up in the 2025 AI mania, hit \$9+, and is now giving it all back as investors separate "real AI revenue" from "AI-adjacent story stocks." The debt reduction story (per yesterday's Zacks piece) is actually a big deal — it means management sees the writing on the wall and is cleaning up the balance sheet before they need to raise capital at these depressed prices, which would crush existing shareholders. The insider transactions on 6/30 were "OTHER" (likely tax withholding on vested shares, not open-market selling), so don't read that as a bearish signal. Bottom line: this is a show-me stock now — the government AI thesis is intact, but the market wants proof it converts to profitable revenue, not just contract announcements.

### POLICY & POLITICAL WATCH

BBAI's whole business is downstream of federal spending — DoD, DHS, intelligence agencies. The FY2027 defense budget markup is happening in Congress right now, and the AI/autonomous systems line items are getting bipartisan support (rare in this environment). If the National Defense Authorization Act (NDAA) preserves or expands the JADC2 (joint battle management) and border AI budgets, BBAI's pipeline gets fatter — they have direct contracts in both. The risk: any continuing resolution or budget stalemate delays contract awards, which is exactly the kind of thing that keeps this stock stuck at \$3.

### IS IT EXPENSIVE?

At \$1.5B market cap on ~\$195M in expected 2026 revenue, you're paying roughly \$7.70 for every \$1 of sales — not cheap for a company that isn't profitable, but way more reasonable than the \$9+ peak where it traded at \$12+ per revenue dollar. Compare to Palantir at ~50x sales — BBAI is the "poor man's PLTR" and that discount is either an opportunity or a warning depending on execution. The valuation only works if you believe revenue growth reaccelerates to 30%+ in 2027 as government contracts ramp.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$3.13   |
| 12M Price Target    | \$4.50   |
| Upside / (Downside) | +43.8%   |
| Market Cap          | \$1.50B  |
| FY2026E Revenue     | \$195M   |
| FY2027E Revenue     | \$250M   |
| FY2026E EPS         | (\$0.35) |
| FY2027E EPS         | (\$0.20) |
| Fwd P/E             | N/M      |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$4.00    | \$3.25    | \$2.75    |
| 6 Months  | \$5.50    | \$3.75    | \$2.25    |
| 1 Year    | \$7.00    | \$4.50    | \$2.00    |
| 2 Years   | \$10.00   | \$5.50    | \$1.50    |
| 5 Years   | \$18.00   | \$8.00    | \$1.00    |
| 10 Years  | \$30.00   | \$12.00   | \$0.50    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Financials (+1.26%) leading as rate expectations shift; Energy strong on the 5-day (+4.35%) likely on geopolitical/tariff headlines. Defense primes are quietly bid on NDAA optimism.

**COOLING OFF:** Speculative small-cap AI is getting flushed as money rotates to profitable AI beneficiaries (hyperscalers, semis). Industrials soft on 5-day (-0.73%) suggesting macro caution.

**ROTATION WATCH:** Money is leaving story stocks and moving into cash-flowing AI winners. BBAI is on the wrong side of that trade right now — until it shows profitability progress, the rotation is a headwind, not a tailwind.

**RELATED PLAY:** If you want defense AI exposure without the small-cap volatility, PLTR is the safer version. If you want to bet BBAI specifically, wait for a bottom signal — a big volume day with the stock closing green.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): Winning the federal AI contracts BBAI wants, and has the profitability to back the multiple
- LMT (Lockheed Martin): Steady defense prime benefiting from NDAA tailwinds without the speculative risk

**BBAI CONTEXT:** BBAI is lagging badly — near 52-week lows while the broader AI/defense trade holds up. That relative weakness tells you the market is skeptical about this specific company's execution, not the sector. Being the worst performer in a decent neighborhood is a warning sign until proven otherwise.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

**CONVICTION:** 5/10 — Cautiously watching, not pounding the table. The setup has asymmetric upside but execution risk is high.

**POSITION SIZE:** 1-2% max — this is a speculative small cap with binary-ish outcomes; don't let it become a portfolio problem

**ENTRY POINTS:** I'd wait for either (a) a base to form around \$2.75-3.00 with volume drying up, or (b) a catalyst — contract win, earnings beat — that confirms the turn

**TIME HORIZON:** 12-18 months, watching for Q3 2026 earnings and NDAA passage as the key catalysts

**WHEN TO BAIL:** Cut it if they announce a stock offering, miss revenue by more than 10%, or lose a named DoD/DHS contract

**HEDGING:** Simplest hedge is just position sizing — keep it small. If you want to get fancy, pair a BBAI long with a small short in a richly-valued unprofitable AI peer so you're betting on BBAI specifically, not the whole speculative AI trade